

Segregation of Duties

Test code	GL-006	Category	General Ledger
Logic version	1.0.0	Test type	Exception identification

Purpose

This test identifies General Ledger transactions where the mapped Entry User and Approval User represent the same user after normalisation. Such records may indicate self-approval, incompatible duties, a shared or technical account, or unreliable workflow data requiring further audit review.

The result is an indicator for further audit scrutiny. It does not, by itself, confirm an improper transaction, a control failure, an error or fraud.

Risk addressed

The test addresses the risk that one user may be able to initiate and approve the same transaction without an independent review. This may reduce the effectiveness of preventive and detective controls and increase the risk that errors, unauthorised transactions or intentional manipulation are not independently challenged.

Relevant audit assertions

Occurrence	Insufficient independent approval may allow invalid or unauthorised transactions to be recorded.
Accuracy	Errors may not be independently identified or corrected where the same user performs both activities.
Other possible considerations	Authorisation, control design and the reliability of system user data may also be relevant, depending on the circumstances.

Data required

Mandatory	Entry User; Approval User
Recommended	Posting User, Transaction ID, Journal Number, Transaction Date, Posting Date, Transaction Amount, Account Code, Transaction Description, Approval Date and Approval Timestamp.

How the test works

1. Records with a blank or unusable Entry User are excluded from the comparison and disclosed separately.
2. Records with a blank or unusable Approval User are excluded from the comparison and disclosed separately.
3. Entry User and Approval User values are normalised by trimming surrounding spaces and comparing case-insensitively.
4. A record is flagged when the two normalised user identifiers are equal.
5. All available recommended fields are retained with the source row for auditor review.
6. Version 1.0 does not automatically exclude system, service, shared or generic accounts because no engagement-specific exclusion rule has been approved.

Exception wording: Same user entered and approved transaction - further audit scrutiny required.

How to interpret the results

A same-user match may represent a genuine segregation-of-duties concern, but it may also arise from a technical account, a shared account, emergency processing, a small organisation with limited staffing, or data fields that do not represent the expected workflow roles. The auditor should confirm the meaning of the mapped fields and the identity represented by each user value before reaching a conclusion.

Suggested follow-up

- Confirm that Entry User and Approval User represent separate control activities in the source system.
- Review approval evidence and workflow history for selected exceptions.
- Determine whether the user identifier is a named person, shared account, generic account, system account or service account.
- Review repeated exceptions by the same user, journal, account, period and transaction value where those fields are available.
- Assess whether compensating review controls operated where incompatible duties could not be separated.
- Follow up blank or unusable user identifiers as a data-quality or audit-evidence issue.

Professional basis

This procedure may support risk identification, the design of audit responses and the collection of audit evidence. Relevant financial-audit references include ISSAI 2315, ISSAI 2330, ISSAI 2500 and ISSAI 2520. The standards do not prescribe this exact test; it is one analytical method an auditor may use subject to the audit objective, data reliability and professional judgement.

Limitation

This test compares only the mapped user identifiers. It does not establish the person who actually performed an action, assess the full role or access-rights design, or prove that the transaction was unauthorised. System, service, shared and generic accounts are not automatically excluded in version 1.0. Final conclusions must be based on supporting audit evidence and professional judgement.

Reference

INTOSAI financial audit standards: ISSAI 2315, ISSAI 2330, ISSAI 2500 and ISSAI 2520. AFROSAI-E Regularity Audit Manual, 2013.